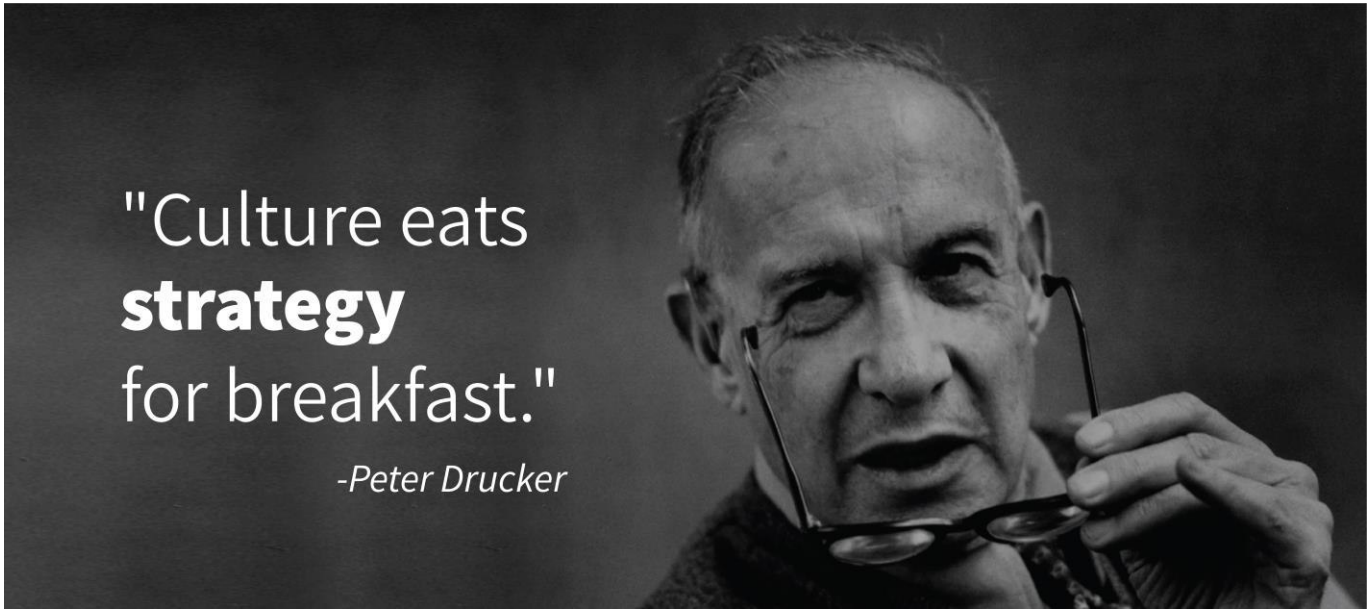
# CORPORATE CULTURE

# ECOALF CASE

**Session 26**

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There are two key elements of a company that overcome all the business sciences (strategy, marketing, finance, production, ….) and makes them aligned or unaligned:

- Business model
- Corporate culture and their values

1. Corporate Culture: Values, Common norms and beliefs

2. Corporate Values

3. Most successful corporate values

- Customer centricity
- Innovation
- Environmental friendly: When Values determine the Mission. Case ECOALF

4. When Values align everything :

Core Values as a motto (slogan)

**Corporate Culture** → is the **SHARED** set of **VALUES** (what we care about), **BELIFS** (what we believe to be true), and **NORMS OF BEHAVIOR** (how we do things); that characterize members of an organization and define its nature.



# The importance of having core values (2 min.)

https://www.youtube.com/watch?v=DtGhw4i3aAQ



# Corporate culture affect the company:

- Goals and strategies

Is it a competitive environment? *E.g. BCG; McKinsey; Big four; …*

- Corporate structure and organization

Is it a non hierarchy organization? Flat organizational structure. *E.g. Inditex.*

- Labor culture & Team selection

Must people be innovative? *E.g. Apple; Google;…* or happy? *E.g.: Disney*

- Customer satisfaction & Marketing

Is a customer centricity company? *E.g. Amazon;*

- Social Corporate Responsibility …. and many others…..

Is there a relation between SCR and mission of the company? *E.g. Grameen Bank.*

# How to develop core Values?

**How to develop core values for your business (5 min.)** *https://www.youtube.com/watch?v=oUPbh0W6mEA*



# How to develop core Values?

1. What are your guiding principles?
2. Why are you in this business?
3. What is the strongest belief in your company?
4. What value is unique about working here?
5. What value is unique for my customers?

1. Corporate Culture

2. Corporate Values

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# How is the design the Corporate Values?

## 1. The founder values are transmitted to the organization

**Steve Jobs talks about Core Values at D8 2010 (3 min.)**
*https://www.youtube.com/watch?v=5mKxekNhMqY*

## 2. The organization design their corporate values

**Our company values, from the inside out (3 min.)**
*https://www.youtube.com/watch?v=MkxDJsXdkKE*

**Dovetail team design their values**. We believe that values should be a reflection of what a company's culture actually is, so in December 2020, we held a full-day workshop with the entire Dovetail team to brainstorm and codify our company values.

# 1. The founder values are transmitted to the organization

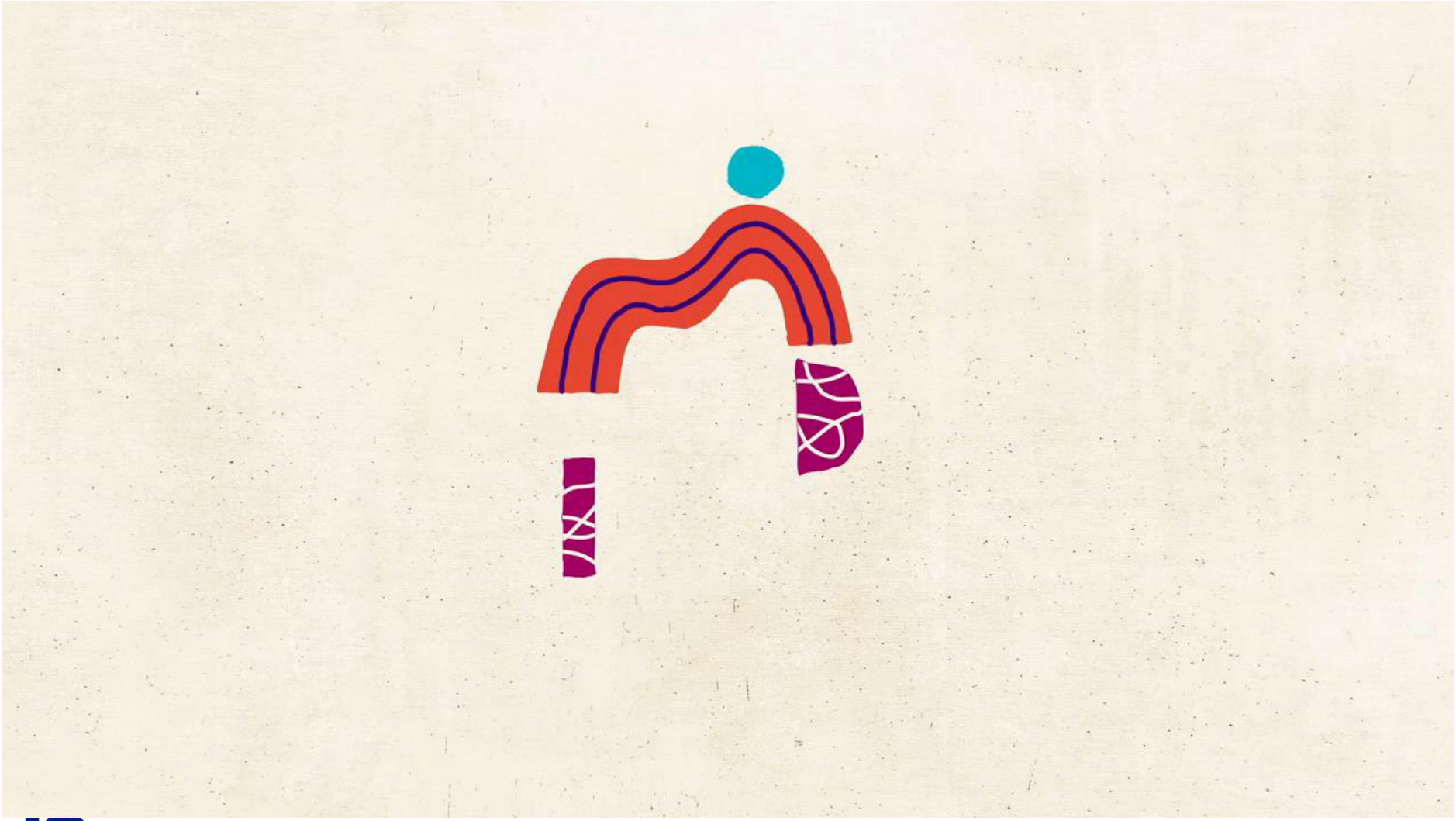
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**Dovetail team design their values**. We believe that values should be a reflection of what a company's culture.



## My Recommendation for your professional life

**If you want to be successful in any organization →**

**Your Core Values must be aligned with the core values of the company you work for or your own business.**

*Optional* → **Is your work aligned with your values? | Geoff DiMasi | TEDxPhiladelphia (17 min.)**
*https://www.youtube.com/watch?v=zzvsyr8U3IM*

**APPLE**

**How to hire people according to the values and give them autonomy on decisions (4 mts.)** *https://www.youtube.com/watch?v=rQKis2Cfpeo*



**APPLE**

***Optional*** → **How Apple Is Organized for Innovation: The Functional Organization (4 mts.)** *https://www.youtube.com/watch?v=5hENFA3CJUY*



*Optional*

**Netflix Organizational Culture (14 min.)**
*https://www.youtube.com/watch?v=7O87hhyLa9U*

**LinkedIn: A Culture of Transformation | Staff Development (4 m.)**
https://www.youtube.com/watch?v=Y8hRENh-rOg&t=168s

**Southwest Airlines contruyó su cultura | Herb Kelleher | WOBI (5 m.)**
https://www.youtube.com/watch?v=8_CeFiUkV7s

1. Corporate Culture

2. Corporate Values

3. Most successful corporate values

   1. **Customer centricity**
   2. **Innovation**
   3. **Environmental friendly**: When Values determine the Mission. Case ECOALF

4. When Values align everything :
   Core Values as a motto (slogan)

# 1. What is Customer Centricity?

**What is Customer Centricity?** (2m.)
*https://www.youtube.com/watch?v=3_EXavzcV50*




**Customer centricity** → is a business philosophy where the customer's experience (UX) and relationship is valued as the first priority.

- The **customer is the focal point of all decisions** related to delivering products, services and experiences to create customer satisfaction and customer loyalty.
- Customer centric companies **have the ability to understand customers'** situations, perceptions, and expectations.

**What is Customer Centricity?** (2m.) *https://www.youtube.com/watch?v=3_EXavzcV50*

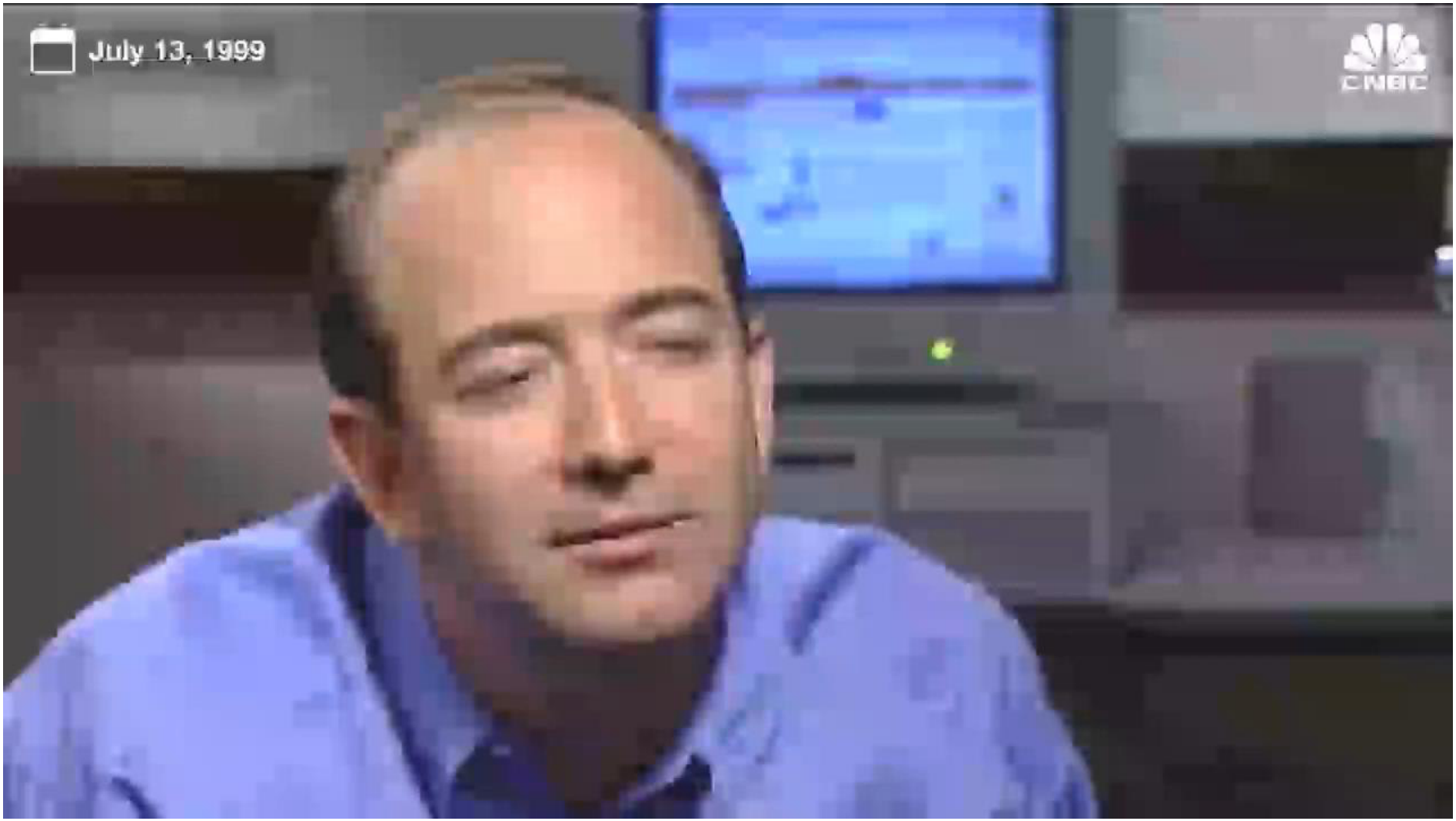





**Steve Jobs - Customer Experience First** (1 m.) https://www.youtube.com/watch?v=d8n5hCLvuzc



**Jeff Bezos Customer Obsession 1999** (5 m.) https://www.youtube.com/watch?v=vxwjzVW7z5o





**Best Advice to Small Business Owners** (3m.)

https://www.youtube.com/watch?v=0PbjZ01ObLA



# What does business icons think about Customer centricity?



**Steve Jobs - Customer Experience First** (1 m.)
https://www.youtube.com/watch?v=d8n5hCLvuzc

**Jeff Bezos 1999**
**To be earth´s most customer center company**
**Jeff Bezos Customer Obsession 1999** (5 m.)
https://www.youtube.com/watch?v=vxwjzVW7z5o




**Jeff Bezos 2019**
**Jeff Bezos On Customer Obsession & Long Term Think** (4 m.)
https://www.youtube.com/watch?v=ctoEOdJxzE4



**Best Advice to Small Business Owners** (3m.)
https://www.youtube.com/watch?v=0PbjZ01ObLA

Optional: **ZAPPOS → "Deliver WOW through service" (2m)**
https://www.youtube.com/watch?v=NFWAoF0tWeE
DISNEY → "Make people happy"
https://www.youtube.com/watch?v=56Kj93vR59g
Customer Obsession: Satisfying Needs w/ Consumer Science | INDUSTRY: The Product Conference 2018 (32m.)
https://www.youtube.com/watch?v=Wp7OT2fCqf8

# 2. What is the Value of Innovation?

**Innovation as core value** → is a business philosophy where the members of the company are focus on thinking **about creating new products of services** from creativity and innovation.

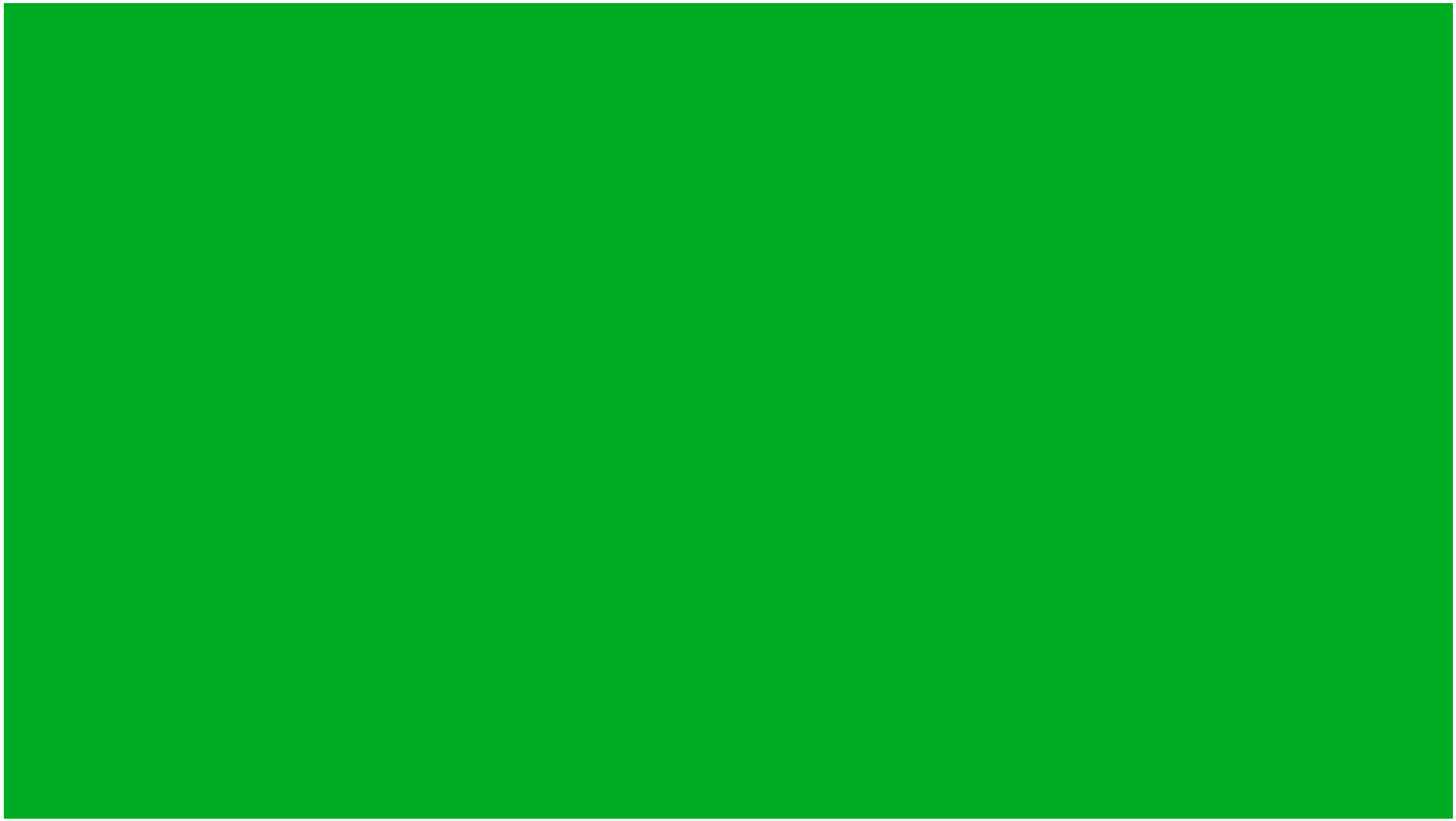
- Innovating entails transforming new ideas into tangible results.
- Innovation and creativity needs a culture were mistakes are not punished (learning from failure).

*"3M employees are given permission to pursue their own ideas—and to fail at them, as long as they learn something in the process."*





**3M's 15% Culture of Innovation?** (3min.) *https://www.youtube.com/watch?v=1D3DqIMLntM*



**We Are Reinventors | HP** (1 min.) *https://www.youtube.com/watch?v=_pxhz8HQIf8*



# 3. Environmental friendly

## How VALUES can create a meaningful company?

### ECOALF

**FashionSustain 2018: Javier Goyeneche, Ecoalf (*15 min*.)**
https://www.youtube.com/watch?v=52BGgnCBOdg

ie Business case (*Prof. Martina Pasquini*)→ Because there is no planet B: the case of Ecoalf



# ECOALF Presentation (1 m.)

# ECOALF

- Sustainable fashion brand
- Founded in Madrid
- 100% recycled clothing
- Civic engagement
- Certified B Corporation (CBC)



# ECOALF STRATEGY




FASHION IS NOT JUST ABOUT LOOKING GOOD.

#becausethereisnoplanetB

ONLY AROUND 27% OF PLASTIC BOTTLES ARE RECYCLED

#becausethereisnoplanetB

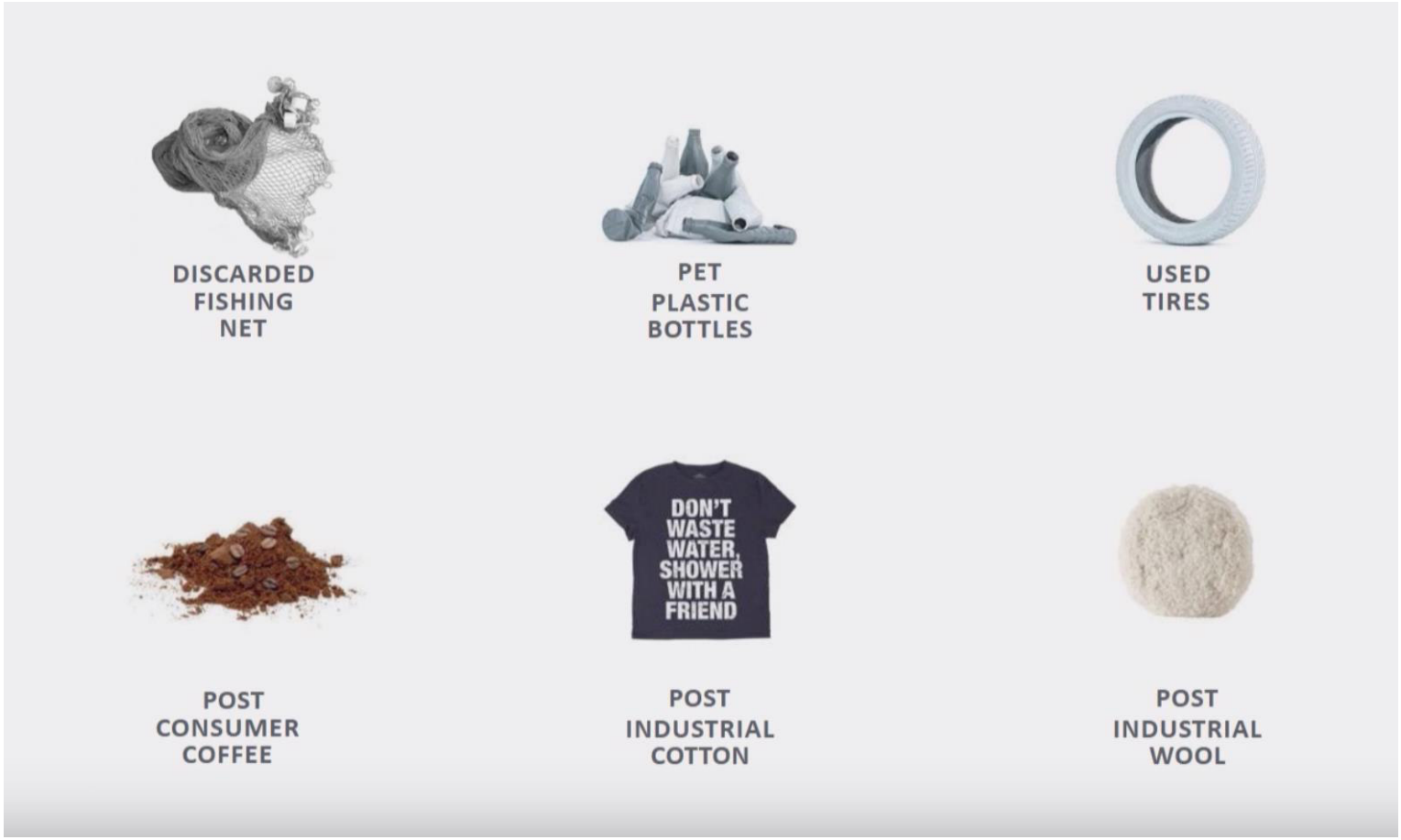
ECOALF



=



# ECOALF




https://www.youtube.com/watch?v=Ko_BZhIpI1Q&t=6s


ECOALF
70,000,000
plastic bottles recycled
70 plastic bottles = 1 meter fabric
60 tonnes
fishing nets recycled
135g nets = 1 meter fabric
BY USING RECYCLED PLASTIC
SAVED
20% water
50% energy
60% greenhouse gas emissions
BY USING RECYCLED FISHING NETS
SAVED
27% natural resources
28% greenhouse gas emissions
Prevention of marine pollution
ourgoodbrands

# ECOALF




- Expensive innovation
- Partnerships
- Expanding
- Not profitable in the past 5 years

https://www.youtube.com/watch?v=jLuZK4YLTsI

# Social Business Hybrids

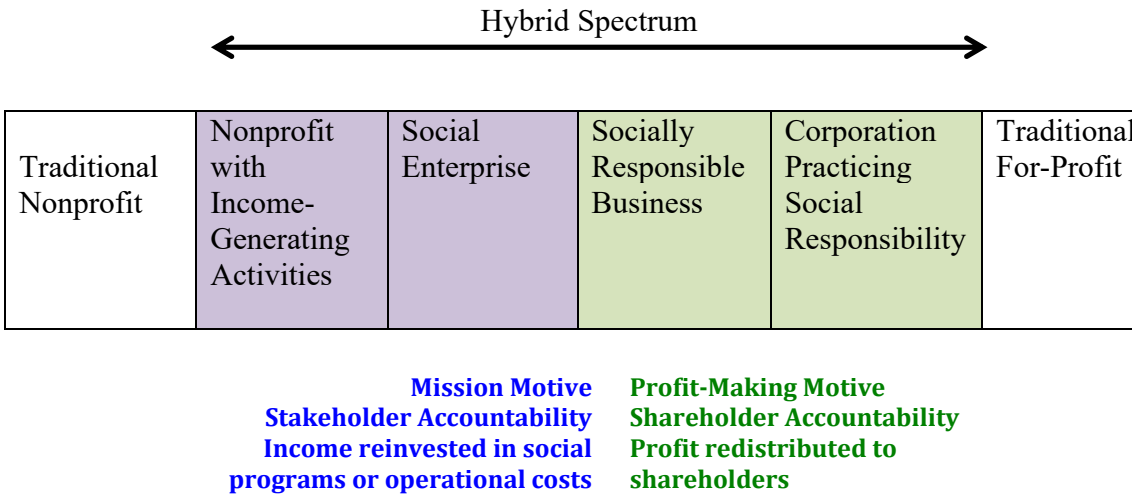





# Social Business Hybrids

- The term social business hybrid indicate the new phenomenon of those businesses **whose mission are a mix between the competitive advantage and the realization of a non-profit social**, beyond a classical corporate social responsibility (Batillana & Lee, 2014; Fosfuri, Giarratana, Roca, 2016; Porter & Kramer, 2006).

**Figure 1: Hybrid Spectrum (Alter, 2007)**



# Corporate Social Responsibility (CSR)




- The firm is the property of its owners
- The firm should maximize shareholder value
- The interests of shareholders take predence over all others

- The firm is a vehicle for cooperation
- The firm should create value for its stakeholders
- The firm should balance all stakeholder interests

# How to protect civic engagement?

Certified B Corporation

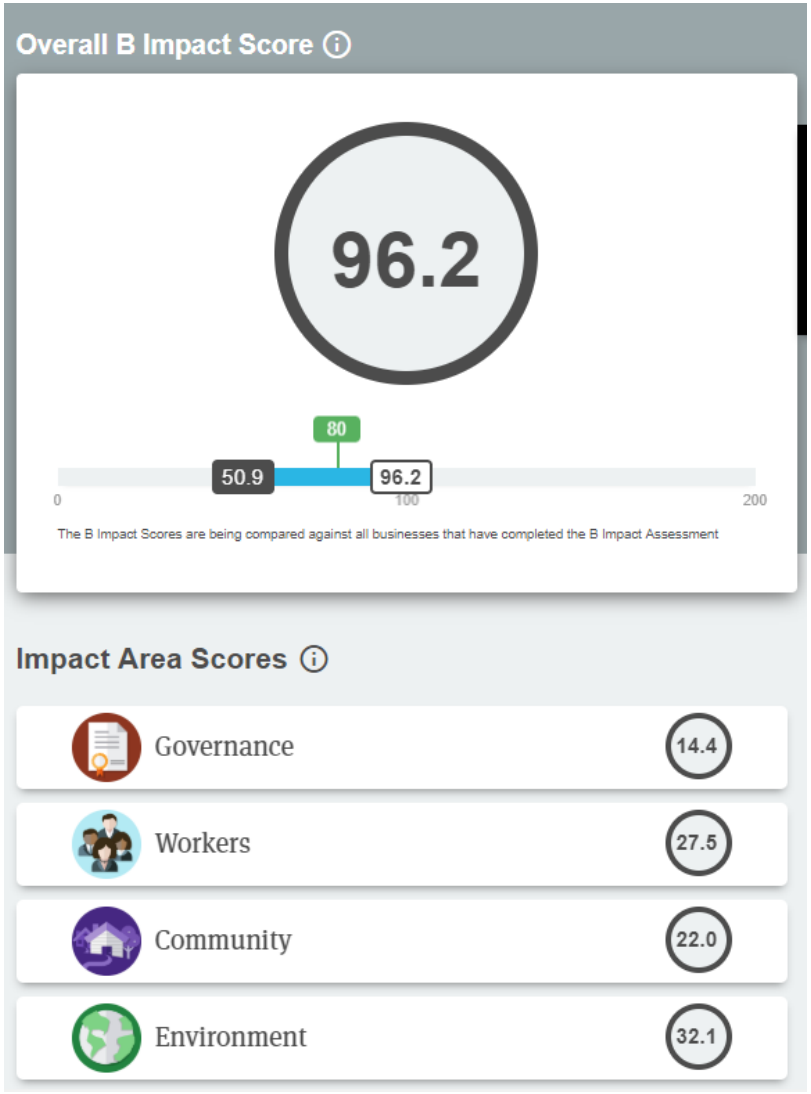
USING BUSINESS AS A FORCE FOR GOOD

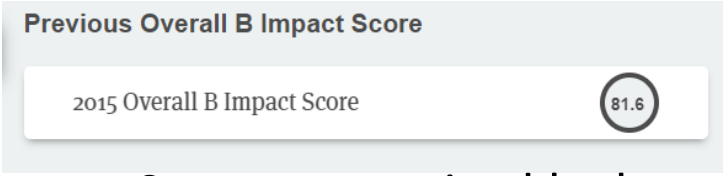
B-Corp Certification is a strategic to signal the authenticity of the social engagement

B-Corporation Certification is a way to protect the social mission

https://www.youtube.com/watch?v=V-VFZUFJwt4&t=18s

# Benefit Corporations & Certified B-Corporations




- Status recognized by law
- Responsibility in front of the shareholders



# B-Corporations:

## Compete not to be the best in the world, but for the best in the world

B the change

USING BUSINESS AS A FORCE FOR GOOD



# Companies, Communities & Values



1. Corporate Culture

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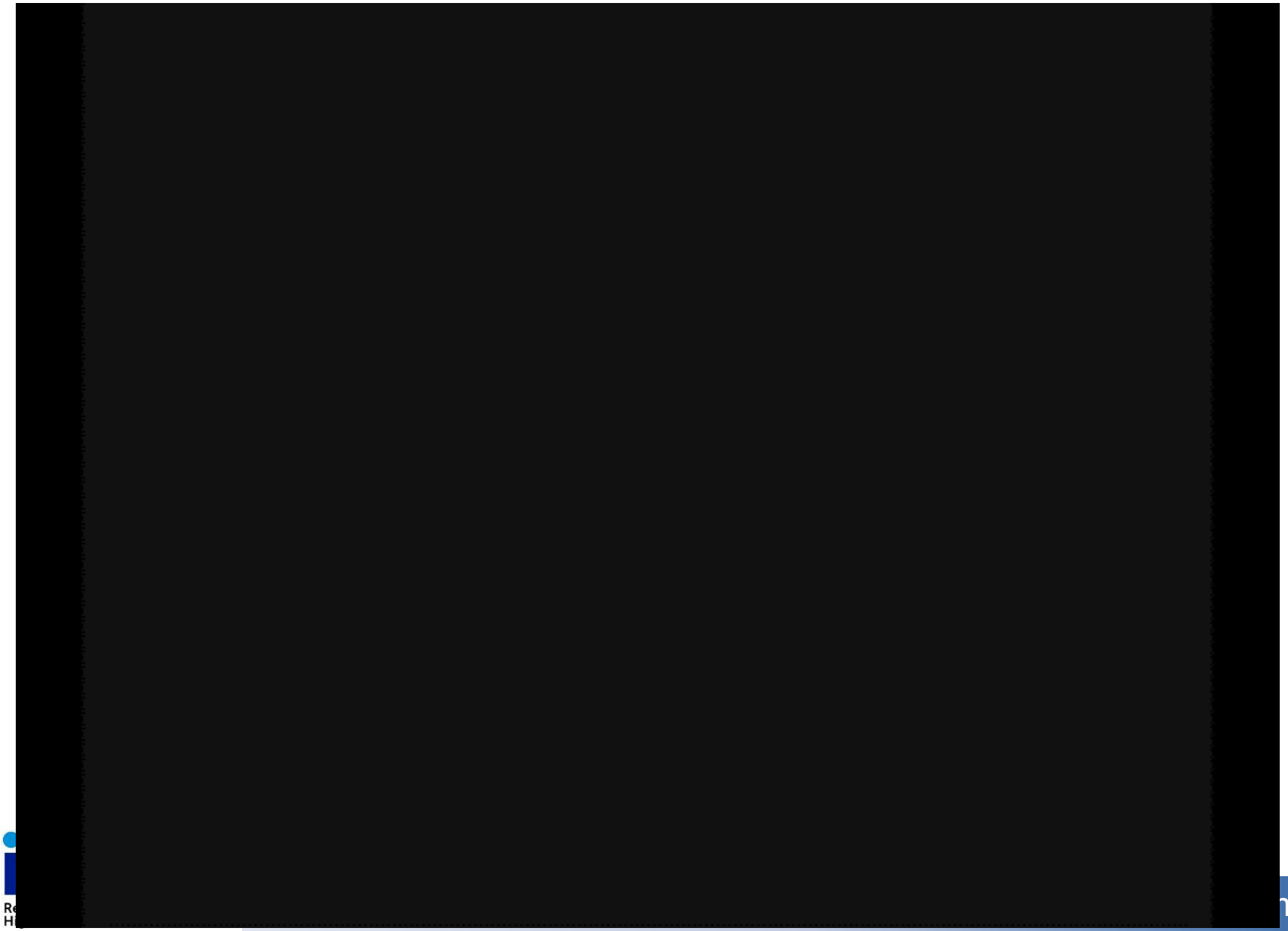
## 4. Core Values as a motto.

Perfect alignment of Strategy, Marketing and Values





**WHAT IS THE CORE VALUE OF APPLE?** **(7m)** → **Steve Jobs explains their core value** and relation to marketing, hiring people, customers, etc. *https://www.youtube.com/watch?v=keCwRdbwNQY*



# Thanks a lot!

# Any questions?

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